As a part of the new approach according importance to the welfare of employees, for the first time in the history of the hospitality business, IHCL offered ‘stock options to its top employees’. It was a part of Ratan’s intent to give the employees a sense of ownership of the company. Such policies contributed to the employees’ extraordinary sense of loyalty to the company, such as the fearless commitment to both saving the Taj hotel and its guests during the November 2008 terror attacks—a subject of many studies, including one by Harvard professor Rohit Deshpande. Despande commented that during the attack, the ‘employees … displayed uncommon valor’ and ‘placed the safety of guests over their own well-being, thereby risking—and, in some cases, sacrificing—their lives’ in what he called was a behaviour that ‘was not merely a crisis response’.

Also in 1998, in a testimony to the significant changes made by the new management, Taj Palace Hotel became the ‘only Indian hotel to win the “Best Business Hotel in Asia 1998” award’. To bring in more professionalism, transfers were made routine. As a matter of practice, every general manager was transferred after three years at a station to ensure rotation of talent and prevent vested interests from taking root.

The following year, Ratan and Krishna Kumar outlined a Rs 800 crore expansion plan. It included seventeen new projects to be implemented over the next three years. The expansion programme would include five-star, business and budget hotels. It also mentioned new projects in the Bandra-Kurla complex in Mumbai and the acquisition of a stake in ITDC.

In September 1999, Ratan outlined his vision for the Taj. Speaking to a business magazine, he expressed his confidence that the Taj would become a ‘global brand’. The company would look at ‘specific properties and specific opportunities. And probably the way to do it was to start in Asia first’, he added.

Simultaneously, in keeping with his plan to focus mainly on luxury properties, the international acquisitions that eroded the brand value of the Taj, like the three- and four-star hotels in the US and the UK, were put on the chopping block. These hotels were ‘inferior to the “Taj” brand [and] were divested rather than create further erosion to the “Taj” luxury brand and what it stood for,’ says Raymond Bickson, former MD of the company. By the end of the year, IHCL had become the country’s largest hotel chain with a presence across all segments of the hotel industry.